

When surveyed, gift receivers reported that they invested less than 65 percent of what nonreceivers invested each year. Even this is a very conservative estimate, since like most heavy credit users, gift receivers overestimate the amount of money they invest. For example, they often forget to take into account major credit purchases when computing actual consumption and investing habits.

There are exceptions to this rule. Teachers and professors who receive gifts appear to remain as frugal or even more so than those who receive no gifts. They are much more likely to save and invest the money they receive as gifts than are gift receivers in other occupational categories. The issue of teachers and professors as role models is discussed more fully later in the chapter.

As we have made clear, gift receivers are hyperconsumers and credit prone. They live well above the norm for others with comparable incomes. But often people mistakenly believe that gift receivers are concerned solely with their own desires, needs, and interests. This is not the case. On average, gift receivers donate significantly more to charity than do others in the same income categories. For example, gift receivers who have annual household incomes in the \$100,000 category normally donate just under 6 percent of their annual incomes to charitable causes. The general population in this income category donates only about 3 percent. Gift receivers give in proportions that are much like those of households with annual incomes in the \$200,000 to \$400,000 bracket. These people give approximately 6 percent of their income to noble causes.

Noble or not, gift receivers consume more, so they have significantly less money to invest. What good does it do to be well versed in investment opportunities when one has little or no money to invest? This is the situation in which a young professor of business recently found himself. He, a gift receiver, was asked to teach a course on investing for a continuing education program. His audience included many well-educated, high-income people. The professor discussed various topics, including sources of investment information and how to evaluate the stock offerings of various public corporations. The professor received high praise from his audience. He was well trained in his discipline. He held a Ph.D. in business administration with a concentration in finance. However, near the end of the course, a gentleman from the audience asked the professor a simple question: